this unique hazard; that is, the risk that you get the seven-year famine before the feast.

Placebos and Mirages

Some commentators have expressed the view that by using a strategy called the "bucket approach to retirement income," they can somehow avoid the damaging impact of a poor sequence of investments returns. Under this strategy one places a few years' worth of retirement spending needs money into safe investments, and then plans on not touching the remaining funds in the event of a bear market. Then, if markets decline, a retiree should simply be counseled to only take income from his bond allocation, then "wait for the stock allocation to recover," and thus avoid selling at a loss. While this strategy might sound good at first, it doesn't hold up to careful scrutiny.

I believe these strategies are an optical illusion at best and create a potential for grave disappointment at worst. If you are unlucky enough to earn a poor sequence of initial returns, so-called bucketing of your retirement income is not a guaranteed bailout. I will try to convince you of this fact using what logicians call a counterexample.

To make this a fair apples-to-apples comparison I will arrange my story so that all else is equal. Thus, I start with two hypothetical retirees: Ms. Stephanie Swip and Mr. Brett Bucket. They both begin their retirement with exactly $100,000 in liquid assets from which they would like to receive or generate $750 per month, in nominal terms, which is $9,000 per annum, for as long as possible. Note that under a fixed 7% investment return per year the funds would only last for about 21 years. Granted, this is a very high and therefore unsustainable spending rate, and I would never counsel either of them to withdraw this much. My objective is not to suggest a prudent spending rate but to examine the impact of two strategic alternatives.

Now, Stephanie chooses to invest her entire $100,000 in one balanced mutual fund that internally has 30% of its assets allocated to risk-free cash instruments and the remaining 70% allocated to diversified equities. This allocation is periodically rebalanced by the fund manager so that Stephanie has a 70/30 equity/cash mix on an ongoing basis at all points in time. I will also assume that this balanced